ABSTRACT

Ex-Servicemen Welfare - Schemes – Announcement made by Hon'ble Chief Minister of Tamil Nadu during the Independence Day Speech 2024 – Implementation of New Scheme – **"Mudhalvarin Kakkum Karangal Scheme (MKKS)"** for Rehabilitation of Ex-Servicemen of Tamil Nadu - Modalities / Guidelines for implementation of the scheme - Orders – Issued.

PUBLIC (EX-SERVICEMEN) DEPARTMENT

G.O.(Ms).No.856 **Dated: 17.12.2024**
திருவள்ளுவர் ஆண்டு-2055
மார்கழி-2

Read:

1. Announcement made by the Hon'ble Chief Minister of Tamil Nadu during Independence Day Celebration Speech on 15.08.2024.
2. From the Director, Directorate of Ex-Servicemen welfare, Chennai-03, Letter Rc.No.10229/2024/S4, dated: 21.11.2024.

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ORDER:

The Hon'ble Chief Minister of Tamil Nadu has made the following announcement during the Independence Day Speech on 15.08.2024:-

- தாய்நாட்டிற்காகத் தங்களது இளம் வயதை இராணுவப் பணியில் கழித்து, பணிக்காலம் நிறைவு பெற்ற, ஓய்வுபெற்ற முன்னாள் படைவீரர்களது பாதுகாப்பான வாழ்க்கையை உறுதி செய்திடவும், வாழ்வாதாரத்தை மேம்படுத்திடவும், "முதல்வரின் காக்கும் கரங்கள்" என்ற புதிய திட்டம் அறிமுகப்படுத்தப்படும். இத்திட்டத்தின்கீழ் முன்னாள் படைவீரர்கள் தொழில் தொடங்க ஒரு கோடி ரூபாய் வரை வங்கிகள் மூலம் கடன்

பெறுவதற்கு வழிவகை செய்யப்படும். இத்திட்டத்தின் மூலம் தொடங்கப்படும் தொழில்களுக்கு வழங்கப்படும் கடன் தொகையில், 30 விழுக்காடு மூலதன மானியமும், 3 விழுக்காடு வட்டி மானியமும் வழங்கப்படும். இவர்களுக்குத் திறன் மற்றும் தொழில் முனைவோர் மேம்பாட்டுப் பயிற்சி போன்ற தேவையான பயிற்சிகளும் அரசால் வழங்கப்படும். இராணுவப் பணியின் போது உயிரிழந்த படைவீரர்களின் குடும்பத்தினரும் இத்திட்டத்தின் மூலம் பயன்பெறலாம்.

- அடுத்த இரண்டு ஆண்டுகளில் 400 முன்னாள் இராணுவத்தினர் பயன்பெறும் வகையில், 400 கோடி ரூபாய் மதிப்பிலான திட்டங்களுக்கு ஏறத்தாழ 120 கோடி ரூபாய் முதலீட்டு மானியம் மற்றும் 3 விழுக்காடு வட்டி மானியம் சேர்த்து வழங்கப்படும்"

2. In order to implement the above announcement the Director, Directorate of Ex-Servicemen Welfare, Chennai-03 has sent a proposal along with draft Modalities / Guidelines in respect of the scheme namely **"Mudhalvarin Kakkum Karangal Scheme (MKKS)".** This Scheme aims to empower Ex-Servicemen and their wards by facilitating their transition into successful entrepreneurship through the provision of credit-linked capital subsidies, thereby fostering self-reliance, economic independence and job creation in the community. This Scheme will provide 30% capital subsidy on the eligible project cost (i.e.) loan to new entrepreneurs not exceeding Rs.1,00,00,000/- (One Crore Only). The scheme envisages that in the next two years, about 400 Ex-Servicemen / Widows of Serving soldier, died while in service will be benefited for establishing new self-employment ventures. Under this scheme 30% of Capital Subsidy and 3% of Interest Subvention will be provided.

3. After careful examination, the Government accord approval to the proposal of Director, Directorate of Ex-Servicemen Welfare with Modalities / Guidelines of **"Mudhalvarin Kakkum Karangal Scheme (MKKS)"** as appended to this order for implementation. The Government also direct that necessary fund provision towards implementation of scheme shall be met out from Tamil Nadu Ex-Services Personnel Benevolent Fund (TNEPBF) with an expenditure

limiting to Rs.120 Crores during the financial year 2024-2025 and 2025-2026. The Director of Ex-Servicemen Welfare is empowered to release the fund after placing before the financial sub-committee for administering of Tamil Nadu Ex-Services Personnel Benevolent Fund (TNEPBF).

4. This Order does not require concurrence of the Finance Department as the fund provision for this scheme shall be met out from Tamil Nadu Ex-Services Personnel Benevolent Fund (TNEPBF).

(BY ORDER OF THE GOVERNOR)

REETA HARISH THAKKAR
SECRETARY TO GOVERNMENT

To:

The Director, Directorate of Ex-Servicemen Welfare, Chennai-03.
The Industries Commissioner and Director of Industries and Commerce, Chennai – 32.
The Director, Entrepreneurship Development and Innovation Institute (EDII – TN), Chennai – 32.
The General Manager and Convener of State Level Bankers Committee (Tamil Nadu), Indian Overseas Bank, Chennai – 2.

Copy to:

The Chief Minister Office, Secretariat, Chennai-09.
The Senior Principal Private Secretary to Chief Secretary to Government, Chennai-9.
The Principal Private Secretary to Secretary to Government, Public Department, Chennai-09.
The Personal Assistant to Deputy Secretary to Government (Public), Secretariat, Chennai-09.
SF/SC.

//FORWARDED/BY ORDER//

18/12/24

SECTION OFFICER

18/12/2024

APPENDIX

ANNEXURE-I

Guidelines for "Mudhalvarin Kakkum Karangal Scheme" (MKKS)

1. **Objective:**

   To empower Ex-Servicemen or their wards by facilitating their transition into successful entrepreneurship through the provision of credit-linked capital subsidies, thereby fostering self-reliance, economic independence and job creation in the community through a new scheme called **'Mudhalvarin Kakkum Karangal Scheme (MKKS)'**

2. **Key Components:**

   Empowerment through Financial Support:

   Provide financial assistance to cover initial capital costs for starting businesses and reducing the financial barriers to entry.

   Skill Development:

   Implement training programs that equip Ex-Servicemen with essential entrepreneurial skills and knowledge of Business Management.

   Mentorship and Guidance:

   Establish mentorship networks connecting Ex-Servicemen with experienced entrepreneurs and industry experts to provide on-going support.

   Monitoring and Evaluation:

   Set up mechanisms to monitor the progress and impact of the subsidy program on Ex-Servicemen entrepreneurs, ensuring continuous improvement and adaptation.

3. **Expected Outcomes**

   - Increased number of successful businesses owned by Ex-Servicemen.
   - Enhanced self-employment rates among Ex-Servicemen.
   - Contribution to local economies through job creation and service provision.
   - Improved quality of life for Ex-Servicemen and their families.

   This comprehensive approach aims not only to provide financial assistance but also to build a robust support system for Ex-Servicemen embarking on their entrepreneurial journey.

4. **Target group :**

   - Ex-Servicemen
   - Widows of Ex-Servicemen (Not Remarried)
   - Widow of Soldiers who died while in service

- Unmarried or widowed daughters wholly dependent on Ex-Servicemen

aspiring to become entrepreneurs from the State of Tamil Nadu.

5. **State Level Nodal / Implementing Agencies:**

The Organizations listed below will act as the Nodal / Implementing Agencies for the successful implementation of the various components of the Scheme. The Director, Department of Ex-Servicemen Welfare would be overall in-charge of implementation of the scheme under the supervision of the Secretary to Government, Public (Ex-Servicemen Welfare) Department.

Sl. No	Components of the Scheme	State Level Nodal Agency	Implementing Agencies	
			State Level	District Level
1	Selection of beneficiaries	Directorate of Ex-Servicemen Welfare Department, Chennai	Directorate of Ex-Servicemen Welfare Department, Chennai	Assistant Director / Deputy Director of Ex-Servicemen Welfare of the respective District.
2	Entrepreneurship Development Programme Training	Entrepreneurship Development & Innovation Institute (EDI&I), Chennai.	Entrepreneurship Development & Innovation Institute (EDI&I), Chennai.	Entrepreneurship Development & Innovation Institute (EDI&I), Chennai.
3	Arranging for Term Loan from Financial Institutions	Directorate of Ex-Servicemen Welfare Department, Chennai	Directorate of Ex-Servicemen Welfare Department, Chennai	Assistant Director / Deputy Director of Ex-Servicemen Welfare of the respective District.
4	Allotment of Plots/Sheds in SIDCO Industrial Estates	Tamil Nadu Small Industries Development Corporation Limited, Chennai	Tamil Nadu Small Industries Development Corporation Limited, Chennai	Branch Managers of Tamil Nadu Small Industries Development Corporation Limited in the Districts.

6. **Eligibility criteria:**

i. Age : a. Ex-Servicemen:

Minimum – Not Applicable

Maximum – 55 Years

			b. Unmarried Wards / Widowed daughters and Widows of soldiers who died while in service : Minimum - 21 years Maximum - 55 Years
ii.	Place of Residence	:	Ex-Servicemen or family member of Ex-Servicemen belonging to state of Tamil Nadu should submit a proof of Discharge Certificate in respect of the Ex-Servicemen Category
iii.	Academic Qualification	:	There shall be no minimum educational qualification for beneficiaries
iv.	Income ceiling	:	There will be no income ceiling for assistance for setting up projects under this scheme.
v.	Eligibility of Partnership firms	:	Subject to satisfying the eligibility criteria by all the partners, partnership concerns may be considered for assistance under the scheme. However, Entrepreneurship Development Programme (EDP) training will be provided to only one of the partners authorized by other partners in such cases.
vi.	Other conditions	:	Assistance under the Scheme is available only for new projects sanctioned specifically under this scheme. Entrepreneurs who have already availed assistance under Prime Minister's Employment Generation Programme (PMEGP), Prime Minister's Formalization of Micro Food Processing Enterprises (PM FME)Scheme, Unemployed Youth Employment Generation Programme (UYEGP), New Entrepreneur - cum - Enterprise Development Scheme (NEEDS), Annal Ambedkar Business Champions Scheme (AABCS), Schemes implemented by Tamil Nadu Adi Dravidar Housing and Development Corporation Limited (TAHDCO) or any other scheme of Government of India or State Government will not be eligible for assistance under the scheme. Entrepreneurs availing assistance under this scheme will not be eligible to avail capital subsidy under any other State Government schemes.

7. **Activities covered**:

All economically viable manufacturing and service activities are eligible under this scheme subject to appraisal of its viability as per the guidelines of financial institutions. However, the activities listed in Annexure-II will not be eligible for assistance under this scheme.

8. **Selection of the beneficiaries:**

The selection of beneficiaries for credit linked financial assistance under this scheme will be done at the District level by a District Level Task Force Selection Committee (DLTFSC) consisting of the following as personnel's:-

a. The District Collector	-	Chairperson
b. The Deputy Director / Assistant Director, Department of Ex-Servicemen Welfare	-	Member - Convenor
c. The General Managers, District Industries Centers / Regional Joint Director of Industries and Commerce, Chennai	-	Member
d. The Lead Bank Manager	-	Member
e. The District Employment Officer	-	Member
f. The Branch Manager, Tamil Nadu Small Industries Development Corporation Limited (TANSIDCO)	-	Member
g. Representative of Local Micro, Small and Medium Enterprises (MSME) Association	-	Member

Applicants would be screened by the District Level Task Force Committee headed by the Chairperson of the Committee with a minimum quorum of 5 members including chairperson.

9. **Project Cost:**

Maximum project cost permissible under the scheme is Rs.1,00,00,000 (One Crore). Project cost involves the following components.

a. Land	:	Only guideline value of the land as on the date of filing application will be taken into consideration. Maximum permissible extent of land will be upto 5 times the area of proposed building. In case of leased land the lease amount will not be included in the project cost and it is not eligible for subsidy.
b. Building:		Cost of construction of buildings such as Office, Work-shed / Workshop, Laboratory etc., can be included in the project cost subject to the condition that the cost of building shall not exceed 25% of the total project cost. The valuation of the building eligible for subsidy will be assessed as per the prevailing PWD Schedule of rates as on date of commencement of construction of the

building or the cost of the building actually constructed as certified by the Chartered Engineer, whichever is lower. The cost of leased/ rental building shall not be included in the Project cost and they are not eligible for subsidy.

c. Plant and Machinery : **For computation of Project Cost:**

The value of Eligible Plant and Machinery for arriving at the project cost will be including GST and will include all machinery and equipment.

For computation of Subsidy:

The valuation of eligible Plant and Machinery for subsidy will be exclusive of GST and other taxes. In respect of imported machinery the value will include shipping, clearing charges and import duty paid.

d. Working Capital : One Cycle of Working Capital not exceeding 25% of the total project cost is allowed with the cost incurred to be certified by Chartered Accountant.

10. Promoter's Contribution:

i. 5% of the Total Project Cost will be the promoter's contribution.

ii. The Value of the land may be considered as promoter's contribution, either in part or in full, as per guideline value, prevailing as on the date of filing of loan application, subject to the condition that the title of the land is in the name of the entrepreneur / enterprise proposed to be established.

11. Subsidy :

30% of the Eligible Project Cost subject to a ceiling of Rs.30.00 lakhs as front end subsidy from Government. The following expenses will not be considered for calculation of subsidy under this scheme:

i. Cost of rented / leased building.

ii. Technical know-how.

iii. Preliminary/ pre-operative expenses.

iv. GST and Other Taxes, charges laid by the Government from time to time.

12. Interest subvention :

A front-ended interest subsidy at the rate of 3% will be provided to enterprises financed by Banks on a quarterly basis during the entire repayment period inclusive of moratorium period. The Banks / Financial Institutions should

send their claim to the concerned Assistant Director / Deputy Director (Ex-Servicemen Welfare) of their respective districts on completion of every quarter.

Eligibility for availing interest subvention

- The entrepreneur should be prompt in repayment of loan and interest.
- If there is any default in repayment of loan and interest as per schedule of repayment fixed by Bank, interest subvention will not be paid during the period of default. However, if the entrepreneur subsequently pays the installment, interest subvention alone shall be paid. Penal interest or charges for belated payment, if any, shall not be paid by the Government.
- The Enterprise should be in operation during the period for which interest subvention is claimed.
- If the loan account is classified as Non-Performing Assets (NPA), interest subsidy will be withdrawn.

13. Training Institute :

An Entrepreneurship Development Programme (EDP) Training of 10 days will be imparted through Entrepreneurship Development and Innovation Institute (EDII – TN) for the applicants whose projects are provisionally sanctioned by banks, through offline / online / hybrid mode as applicable from time to time.

14. Methodology of the Training :

The trainees will be exposed to Behavioral Components, Business Opportunity Guidance, Information on Entrepreneurship support Institutions, Business Laws and Regulations related to Micro and Small Enterprises, Management issues and Technical Training in the specific technology sector. An innovative methodology by combining Behavioral and Management Games, Lecture cum discussion supported by audio–visuals, Interaction with successful entrepreneurs, Intensive Technical Training and Exposure visits will be adopted. The mode of training will be of offline / online / hybrid mode as applicable from time to time. The Cost of the training will be borne from Tamil Nadu Ex-Services Personnel Benevolent Fund (TNEPBF).

15. Other conditions:

a. In respect of plant and machinery, only new machinery will be considered eligible and indigenous / imported second-hand machinery will not be considered for assistance. However, second-hand machinery, directly imported by the entrepreneur would be considered eligible for assistance subjected to the fulfillment of condition that the imported second-hand machinery brought into use within the country for the first time subject to certification by Chartered Engineer of its value and its residual life of not less than 5 years.

b. Existing Enterprises which are undertaking expansion are not eligible under this scheme.

c. Capital Expenditure will generally include investment on Land, Building, Plant and Machinery only. Hence, projects without capital expenditure are not eligible for financing under the Scheme.

d. Self-financed projects will not be eligible under this scheme.

e. There will be no bar on the beneficiary to claim additional capital subsidy from schemes operated by agencies not controlled by the Government of Tamil Nadu. This will include Credit Linked Capital Subsidy Scheme (CLCSS) of Union Government, schemes of Coir Board, etc...

f. The Director, Ex-Servicemen Welfare Department shall have the power to review and modify any decisions of the District Level Task Force Selection Committee (DLTFSC) or to bypass the District Level Task Force Selection Committee (DLTFSC) in exceptional Circumstances.

g. Collateral security will be decided as per Bank / Financial Institution guidelines. Subject to applicability, loans may also be covered under Credit Guarantee Fund Trust Scheme for Micro and Small Enterprises (CGT-MSE) of Government of India and Tamil Nadu Credit Guarantee Scheme (TNCGS).

16. <u>Operation of the Scheme</u>:

a. Project proposals can be applied in the dedicated web portal with relevant details.

b. The applications received through the portal will be scrutinized for checking eligibility and shall be placed before the District Level Task Force Selection Committee (DLTFSC) by the Assistant Director / Deputy Director of Ex-Servicemen Welfare.

c. The Selection will be based on qualification, skill, aptitude, viability of the proposed project, marketability, interview / screening of the applicant, etc.

d. The selected applications will be sent to the bank / financial institutions.

e. The bank / financial institution shall assess the viability and feasibility of the proposal and will issue provisional sanction to eligible beneficiaries under intimation to Assistant Director / Deputy Director of Ex-Servicemen Welfare of the District.

f. Assistant Director / Deputy Director of Ex-Servicemen Welfare shall arrange for compulsory Online / Offline / Hybrid Entrepreneurship Development Programme training by the Entrepreneurship Development and Innovation Institute – Tamil Nadu (EDII-TN). On completion of training Entrepreneurship Development and Innovation Institute – Tamil Nadu (EDII-TN) will issue training certificates.

g. Subsequently, the beneficiary will deposit the Promoter's Contribution with the bank / financial institution and the bank / financial institution will forward the details of loan sanctioned and own contribution details.

h. On receipt of the details of loan sanctioned and own contribution, subsidy will be released as front ended mode to the bank so as to release the loan amount to the beneficiary from the bank.

i. The respective disbursement details will be forwarded to Assistant Director / Deputy Director of Ex-Servicemen Welfare of the District along with the subsidy utilization certificate by the bank.

j. Asset verification to ensure the creation of asset in the form of Joint Inspection by the Branch Manager of the banks concerned, Assistant Director / Deputy Director of Ex-Servicemen Welfare of the District and the General Managers of District Industries Centres of respective districts/ RJD, Chennai in respect of Chennai District is to be followed.

k. The subsidy amount will be drawn by the Director, Ex-Servicemen Welfare Department and disbursed to all the Assistant Director / Deputy Director of Ex-Servicemen Welfare of the District based on the target allocated and their requirement.

l. On receipt of subsidy claim raised by the Bank / Financial Institution, Assistant Director / Deputy Director of Ex-Servicemen Welfare of the District will release the subsidy to Bank / Financial Institution based on the seniority of the claims. The subsidy amount will be credited into the beneficiary's term loan account. The Bankers will release subsidy after conducting joint inspection, in such a way to ensure that beneficiary is not constrained in any case by paucity of funds.

m. The Bank / Financial Institution should submit an utilization certificate (UC) for the actual amount of subsidy utilized in respect of each beneficiary enterprise then and there.

n. Any unspent funds allotted for a particular Financial Year shall be carried over to next Financial Year to meet the training/ subsidy/interest subvention/ contingency components after obtaining concurrence from Government.

o. The applicant / beneficiary / entrepreneur has to execute a Tripartite Agreement before the release of subsidy to be signed by the Beneficiary, Assistant Director / Deputy Director of Ex-Servicemen Welfare of the District and the Branch Manager of Bank / Financial Institution.

17. <u>How to apply</u>:

The scheme will be advertised in leading newspapers by the Directorate of Ex-Servicemen Welfare, Chennai-3. The applicants aspiring to apply shall submit the application through the dedicated web portal of Department of Ex-Servicemen Welfare by providing project profile and copies of relevant

certificates such as proof of age, Educational Qualification, community and Ex-Servicemen or family / ward of Ex-Servicemen.

18. **Review & Monitoring:**

i. The progress of the scheme will be reviewed by the District Collector at the District Level Bankers' meetings conducted periodically with the bankers.

ii. At the State level, the progress of the scheme will be monitored by the State Level Bankers Committee (SLBC). The Director, Ex-Servicemen Welfare Department will periodically review the progress of the scheme at the State Level.

iii. These Guidelines are issued for implementation for one year only and will be revised as and when the Government desires for revision.

REETA HARISH THAKKAR
SECRETARY TO GOVERNMENT

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ANNEXURE-II

LIST OF ACTIVITIES INELIGIBLE FOR ASSISTANCE

1. Any activity directly connected with agriculture.
2. Sericulture (Cocoon rearing), Animal Husbandry like Pisciculture, Piggery, Poultry etc.,
3. Manufacturing of all plastic items restricted under ban on plastics.
4. Sugar
5. Distilleries, Brewery and Malt Extraction
6. Units utilizing Molasses/rectified spirit/de-natured spirit as raw material for manufacture of potable alcohol.
7. Fertilizer manufacture and blending (Except bio-fertilizers)
8. Mining and Quarrying Ores, minerals etc. [Excluding polishing, cutting, crushing, etc. of mined ores / minerals]
9. Aluminium, Iron and Steel Smelting [Excluding foundries]
10. Manufacturing of intoxicant items like Beedi / Pan / Cigar / Cigarette etc.,
11. Saw Mills
12. Cement
13. Calcium Carbide
14. Slaughter House
15. Re-packing of Drugs / Medicine / Chemical, without any processing or value addition
16. Azoic / Reactive Dyes
17. Fire Crackers
18. Industries manufacturing and or utilizing Ozone depleting substances
19. Industries involving hazardous activities / classified as "Red category" by Tamil Nadu Pollution Control Board / Central Pollution Control Board
20. Cyanide
21. Caustic Soda
22. Potassium Chloride
23. Nylon, Rayon & Polyester Fibre manufacturing. [Excluding manufacture of downstream products from Nylon, Rayon & Polyester Fibre]
24. Real Estate
25. All types of trading activities.
26. All activities of mobile nature including Earthmoving Equipment (Exception: Hiring of Passenger vehicle and Goods Carrier not exceeding two numbers per applicant

subject to the condition that only one such project will be permitted in each district per financial year on 'first come first serve' basis)

27. Any other line of activity deemed to be unfit or not approved by the Government from time to time.

28. Any other enterprise / activity as may be notified by the Government from time to time.

REETA HARISH THAKKAR
SECRETARY TO GOVERNMENT

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